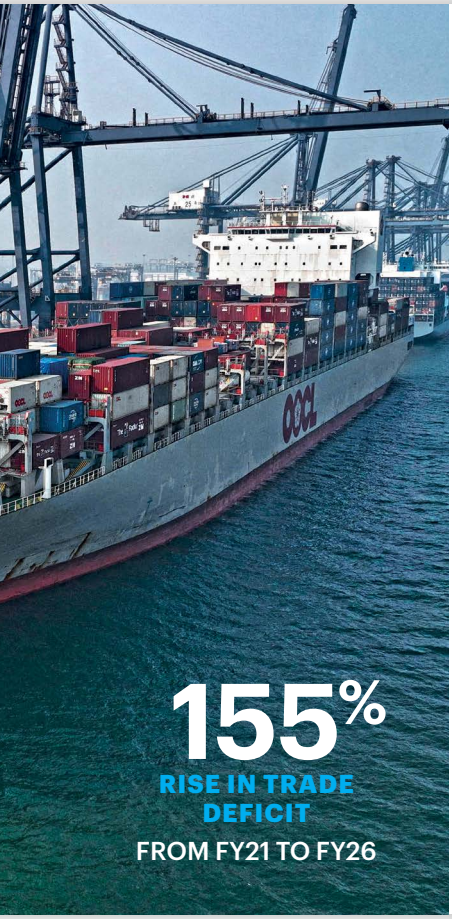
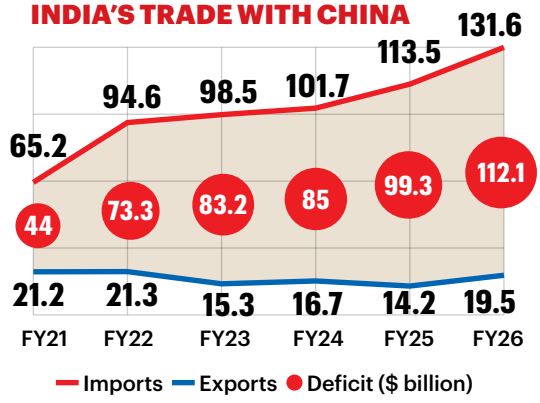


OUR DEPENDENCE ON CHINA

THE WIDENING DEFICIT
Exports are stuck below FY21 levels at $19.5 billion, while imports have more than doubled to $131.6 billion, pushing the deficit up 155% to $112.1 billion in five years

CHINA HEAVILY POWERS INDIAN MANUFACTURING
China supplies 43% of India's electronics imports, 40% of machinery and computer imports, and 44% of organic chemicals—a major supply chain weakness

STRATEGIC VULNERABILITY
This dependence leaves pharmaceuticals, electronics, EVs, solar and clean-energy industries vulnerable to Chinese supply disruptions



INDUSTRIAL DEPENDENCE DEEPENS
86.5% of imports from China are industrial goods, with electronics, machinery, computers and organic chemicals alone accounting for $82.6 billion

Source: Ajay Srivastava, GTRI Brief, 2026

ministry readout referred to "good progress" on delimitation over the past year, a detail India's own statement conspicuously omitted. The ambiguity suggests that neither side wants its domestic audience reading the moment as either a stalemate or a concession. Above all looms the test Saran poses as the only one that ultimately matters: "It is very easy to say, 'Why don't you settle the border with the Chinese?' The more important question is: on what terms?"

CHINA SHOCK 2.0

If the border conversation is inching forward in careful, symbolic steps, the economic relationship seems to be moving with far greater momentum. But there is cause for caution here as well: it remains far more asymmetric. Kantha, drawing on his own recent research, frames the challenge starkly as "China Shock 2.0", a second, more dangerous wave of Chinese economic dominance that is fundamentally different from the first. Where the original China Shock of the 1990s and 2000s was about cheap labour overwhelming low-value manufacturing, the new one is happening at the top of the value chain. Especially in semiconductors, batteries, electric vehicles, solar and wind equipment, robotics, biotechnology and advanced materials, sectors in which China already leads in 69 of 74 critical technologies tracked globally.



"TROOPS ON BOTH SIDES OF THE LAC ARE DISENGAGED, BUT THEY HAVE NOT BEEN DE-INDUCTED. WE HAVE TO DO A PACKAGE DEAL THAT COVERS THE ENTIRE LAC, NOT JUST WHAT HAPPENS TO SUIT YOU"

GEN. M.M. NARAVANE
Former army chief

China Shock 2.0 is qualitatively different because it threatens not merely factories and jobs but also the technological and industrial capabilities on which future economic and strategic power will rest. With an overall 2025 trade surplus that touched a record $1.19 trillion (Rs 114 lakh crore), and a manufacturing footprint approaching a third of global value added, Beijing's weak domestic demand means Chinese factories must increasingly sell abroad. Unlike the first shock, China has not surrendered older industries even as it climbs the technological ladder. The result, Kantha warns, is that developing economies like India risk being squeezed "at both ends of the value chain, and the forces making India competitive today also deepen strategic dependence tomorrow".